MSF 505 Fall 2025 Term Project by Devadharshini Mantharasalam Suganthi

Trading Report 2 – NVIDIA

OVERVIEW

NVIDIA Corporation (NVDA) is a U.S. based multinational technology company listed on the Nasdaq specializing in Graphics Processing Units and Artificial Intelligence computing platforms used in data centers, gaming automotive and advanced visualization. NVIDIA continues to be influenced by broader market trends and sector dynamics. Its primary source of revenue comes from data center GPUs, which contributes to majority of its sales and most of its recent growth.

PRE TRADE ANALYSIS

FUNDAMENTAL ANALYSIS

NVIDIA for FY2025 reported revenue reaching $130.5 billion, up 114% from last year, while net income reached $72.9 billion, showing that company is strong with 56% net margin. The company managed its costs efficiently, achieving an operating margin of 62%, while keeping low leverage at a 0.16x debt-to-equity ratio. Return on equity of 92% reflects how effectively NVIDIA uses its capital to generate profits. The firm also generated $27 billion in free cash flow, reflecting solid financial health. Earnings growth was impressive, with EPS rising 145% year over year to $2.97, reinforcing NVIDIA's leadership in AI and data-center technology.

TECHNICAL ANALYSIS

NVIDIA's stock has been moving steadily upward from March to October 2025, rising from about $120 to over $200. The increase in price and trading volume shows investors are more confident in stocks. The RSI is around 78 meaning that the stock is slightly overbought and could take a short break before continuing higher. The MACD also shows positive signal as MACD line is crossing above the signal line stating that the buying pressure is increasing. NVIDIA remains in a strong bullish trend with support near $175 and the resistance with around $198 showing potential for further upside after a short consolidation period.

OUTLOOK

NVIDIA continues to lead the AI computing industry with strong demand, is currently dealing with number of challenges that have decreased investor's optimism. The company is currently facing an antitrust setback in China, tighter export regulations and pushback on cloud service costs have raised short-term concerns about company's ability to sustain its rapid increase. NVIDIA is still an important competitor in AI hardware market despite the pressure that may slow its previous unstoppable growth trajectory.

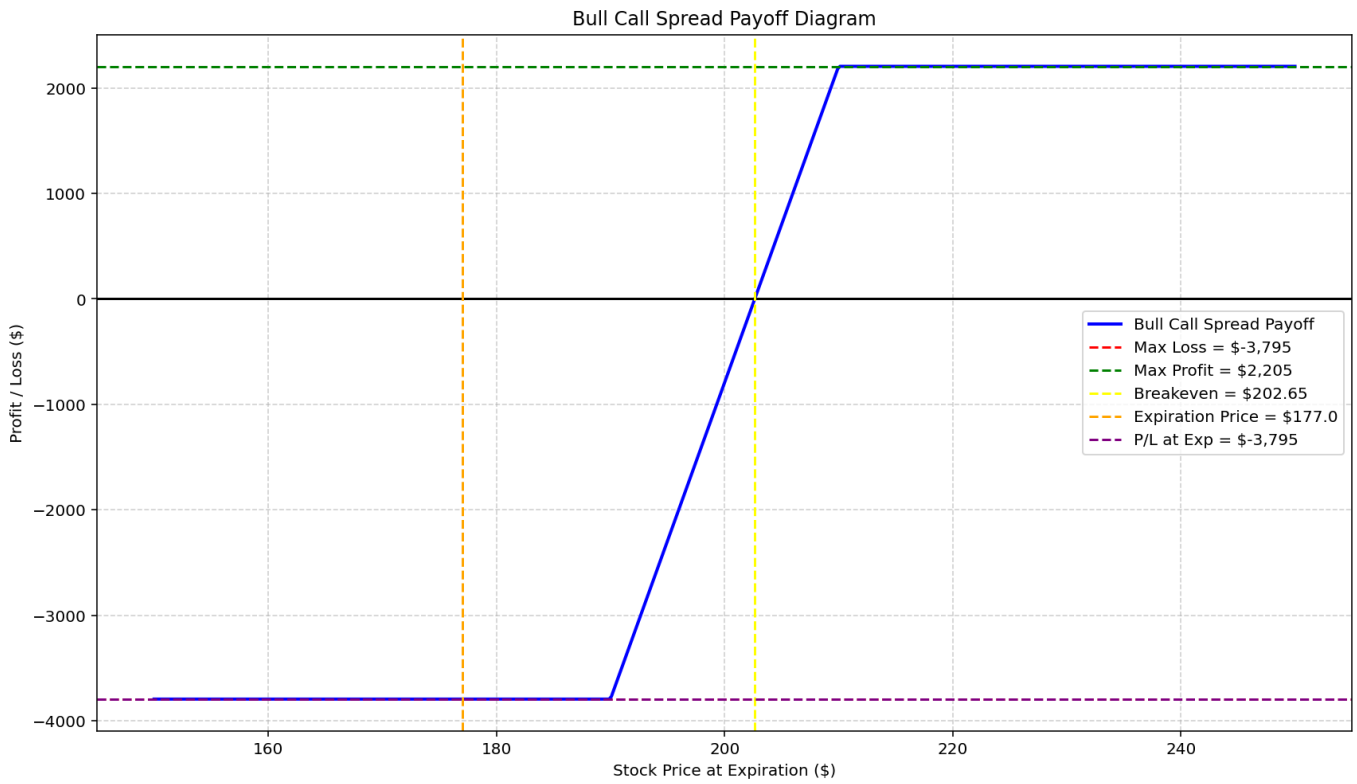
RECOMMENDED OPTION APPROACH

NVDA Stock Price of November 3rd2025: $206.88

The expiration is November 28,2025. (26 Days)

I had chosen the bull call spread because of strong long-term fundamentals and recent bullish momentum of NVIDIA indicated a possible upward move in price. This strategy allowed me to profit from a moderate rise in stock while keeping costs lower than buying a call outright. This strategy also provides defined risk, making it a controlled way to express a bullish view.

Position	No. of Contracts	Expiration Date	Strike price	Ask price	Total cost	Breakeven point	Max loss	Max profit
Long Call	3	28-Nov	$190	$21.45				
Short Call	3	28-Nov	$210	$8.80	$3,795	$202.65	$3,795	$2,205



POST TRADE ANALYSIS

- I opened a bull call spread on NVIDIA by buying the $190 call and selling the $210 call, paying a total cost of $3,795 with the expectation that the stock would move higher before expiration. For this strategy to be profitable, NVIDIA needed to rise above the breakeven price of $202.65 and the maximum possible profit of $2,205 would have been attained with the stock reaching $210 or above.
- Instead, NVIDIA sank to around $177, remaining well below both strike prices, which caused the whole spread to lose its value and resulted in a maximum loss.
- The decline in NVIDIA's stock was influenced by concerns about slowing data-center demand, tightening U.S. export restrictions on its high-end AI chips and broader weakness in the tech sector that made investors cautious.
- Though overall fundamentals for NVIDIA remain strong, these short-term pressures prevented the strong upward momentum this spread needed.
- The key takeaway from the trade is that a bull call spread depends on clear confirmation of a bullish trend, not just long-term optimism and without that momentum, the whole premium can quickly be lost.

APPENDICES

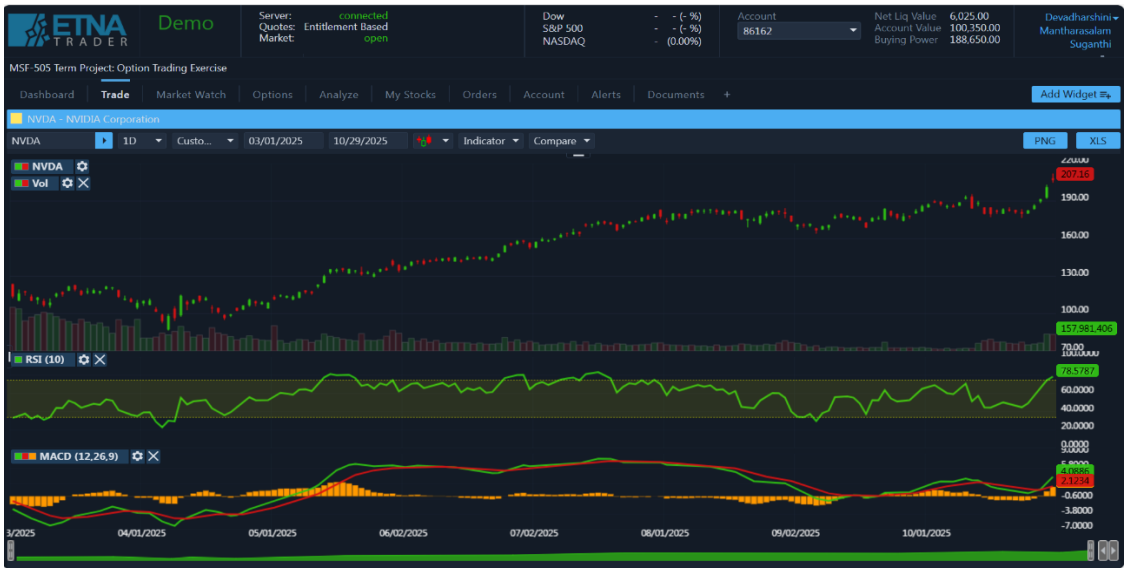
Overview:

https://www.nvidia.com/en-us/

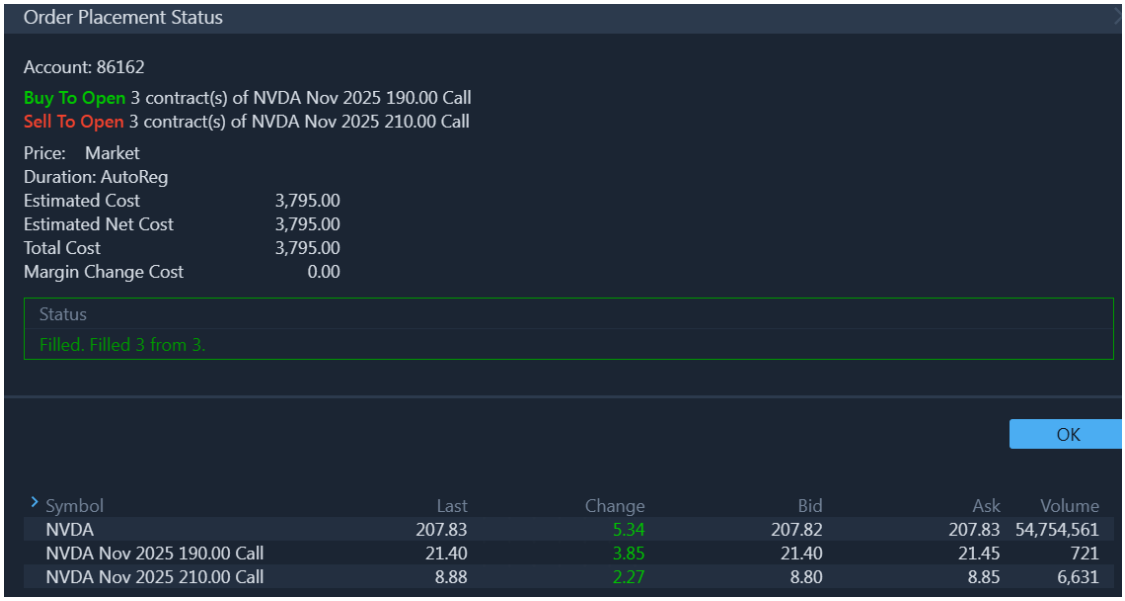
Pre trade analysis:

https://investor.nvidia.com/financial-info/annual-reports-and-proxies/default.aspx

https://s201.q4cdn.com/141608511/files/doc_financials/2025/q4



Outlook:

https://www.reuters.com/world/china

Option price: